

CAPITAL MARKETS

Rialto-Hines \$229M Refi Shows Office Debt Is Available Only for the Right Basis and Sponsor

A 50%-occupied Midtown South tower secures floating-rate bridge debt. The signal is about structure, not occupancy.

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A source-grounded Light Tower Insight. The complete note follows.

A 19-story office tower in Midtown South, 50 percent occupied, just secured \$228.9 million in floating-rate bridge debt from a joint venture between Rialto Capital Management and Hines. That sentence should stop any office lender cold. It is not a distress workout. It is a refinancing.

The deal closed nearly four years after a \$150 million loan from Deutsche Pfandbriefbank in November 2022. The new loan is \$78.9 million larger. The building is newly renovated. The sponsorship—a joint venture of PGIM, Tribeca Investment Group, and Meadow Partners—attracted a half dozen proposals before selecting Rialto-Hines over another large balance sheet lender, according to a source familiar with the transaction.

The market meaning is not that office lending is back. It is that office lending is back for a narrow set of conditions: a renovated asset, a credible sponsor, a basis that can support floating-rate debt, and a clear path to stabilization. The occupancy number—roughly 50 percent—is not a weakness in this context. It is the thesis.

The building, known as the Textile Building, sits at 295 Fifth Avenue between 30th and 31st Streets. It has 707,181 square feet. The renovation is complete. The tenant roster includes two large recent leases: hedge fund Bridgewater Associates signed 60,000 square feet in September 2024, and law firm Quinn Emanuel Urquhart & Sullivan took 132,000 square feet in November 2023. Those leases give the ownership a credible story for the remaining space. The debt is structured as floating-rate, interest-only bridge financing. That structure buys time, not permanence.

Walker & Dunlop's capital markets team—Dustin Stolly, Aaron Appel, Jonathan Schwartz, and others—negotiated the debt. Stolly described the property as a high-quality, well-positioned office asset in a supply-constrained corridor. That is the standard public language. The private language is more revealing: the lender is underwriting the sponsor's ability to execute a lease-up plan, not the building's current cash flow.

Rialto Capital and Hines are not making a macro bet on office. They are making a micro bet on this asset, this basis, and this sponsorship. The floating-rate structure means the lender is not taking

long-term interest rate risk. The interest-only period means the borrower is not amortizing principal. The bridge label means the loan is designed to be refinanced or repaid within a few years, presumably when the building reaches higher occupancy and can support permanent financing.

The deal reveals several things about the current office debt market. First, liquidity exists for assets that have been repriced or renovated to a defensible basis. Second, lenders are willing to provide capital for lease-up risk when the sponsor has a track record and a plan. Third, the number of proposals—a half dozen—suggests that competition for well-structured office deals is real, even if the overall market remains bifurcated.

The constraint that changed is the building's occupancy trajectory. Two large leases in 2023 and 2024 gave the ownership a narrative that the remaining space can be filled. The renovation gave the asset a competitive position in a submarket where new supply is limited. The lender is betting that the narrative becomes reality within the loan term.

What should market participants test next? Owners with similar assets should ask whether their building has a comparable story: a renovation, a credible sponsor, a submarket with constrained supply, and at least one large lease to anchor the narrative. Lenders should ask whether they are underwriting the asset or the sponsor's execution capability. The two are not the same.

The deal is not proof that office is back. It is proof that repriced, renovated office with a credible sponsor can still attract competitive debt proposals. The floating-rate, interest-only structure is a reminder that the capital is temporary. The real test will come when the bridge loan matures and the building needs permanent financing. If the lease-up plan works, the refinancing will be routine. If it does not, the bridge will become a problem.

For now, the market has a data point: a 50-percent-occupied office tower in Midtown South can refinance at \$228.9 million. That is not a recovery. It is a signal that capital is available for the right structure, the right sponsor, and the right basis. Everything else is still waiting.

SOURCES

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<https://commercialobserver.com/2026/07/rialto-hines-295-fifth-manhattan-office-building/>

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